

TO PAY YOURSELF FIRST, YOU MUST OWN YOURSELF

You can't pay yourself first if you don't own yourself. Your vehicle (you) must be free and clear. *When you have a job, someone owns you.* And when someone owns you, you aren't paid first, but last.

The first step to controlling your vehicle—you—is to own yourself so you can truly pay yourself first and the government last. That is accomplished by shelling your business into a corporation that you control.

The corporation serves as the Fastlane frame because it offers the immediate tax benefit of “pay yourself first” versus “pay yourself last.” When you own a corporation, net profits are reduced by expenses. The remaining profit is taxed, and those taxes are paid to the government. Additionally, corporations exist separate from their owners and survive time. *It's the surrogate structure that serves as your business system.*

When you own a corporation, the government is paid four times a year, once every quarter through estimated taxes. If you have a payroll, taxes are paid each time you pay your employees. I pay myself first 365 times a year while the government is paid four times a year. Doesn't that sound like a structure that is conducive to not only “pay yourself first” but also wealth?

HOW TO OWN YOURSELF

Like many entrepreneurs, I made the horrific mistake of getting into business as a sole proprietor. Any “adviser” who recommends a business structure as a sole proprietorship or general partnership should be avoided like an airport toilet. These entities are risky because they don't protect you and catapult unlimited liability onto you and your personal assets. If you're a plumber organized as a sole proprietor and you accidentally leave a pipe cutter at a client's house and the client's three-year-old kills himself with it, guess what? They're coming after you because you chose an ill-protected business entity. Instead of suing a corporation, they sue you and everything you own is up for grabs. The best business structures for your Fastlane business are:

- 1) C corporation
- 2) S corporation
- 3) Limited liability corporation

Each has its advantages and disadvantages, but all share two common benefits: limitation of liability and tax efficiency.